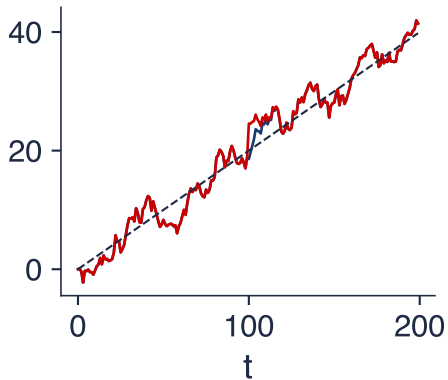
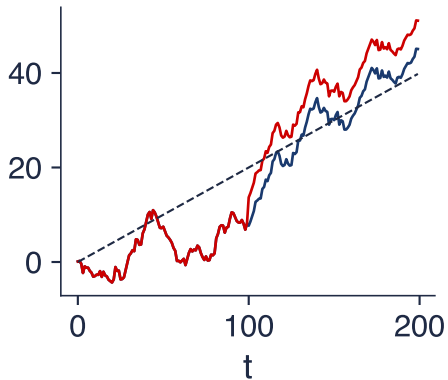


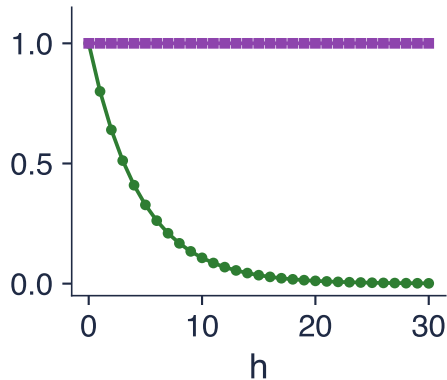
Trend-stationary:
 $y_t = 0.2t + u_t$



Difference-stationary:
 $y_t = 0.2 + y_{t-1} + \varepsilon_t$



Effect of a unit shock
 after h periods



— without the shock
 — with a shock of +6 at $t = 100$

----- trend line $0.2t$
 —●— trend-stationary: ϕ^h , $\phi = 0.8$

—■— random walk: 1